

run less than 1 percent of operating earnings. Most companies of Berkshire's size have corporate expenses 10 times higher.

The One-Dollar Premise

Speaking broadly, the stock market answers the fundamental question: What is this particular company worth? Buffett proceeds in the belief that if he has selected a company with favorable long-term economic prospects, run by able and shareholder-oriented managers, the proof will be reflected in the increased market value of the company. The same, Buffett explains, holds for retained earnings. If a company employs retained earnings nonproductively over an extended period, eventually the market (justifiably) will price the shares of the company lower. Conversely, if a company has been able to achieve above-average returns on augmented capital, that success will be reflected in an increased stock price.

However, we also know that while the stock market will track business values reasonably well over long periods, in any one year prices can gyrate widely for reasons other than value. So Buffett has created a quick test to judge not only the economic attractiveness of a business but how well management has accomplished its goal of creating shareholder value: the one-dollar rule. The increase in value should, at the very least, match the amount of retained earnings dollar for dollar. If the value goes up more than the retained earnings, so much the better. All in all, Buffett explains, "Within this gigantic auction arena, it is our job to select a business with economic characteristics allowing each dollar of retained earnings to be translated eventually into at least a dollar of market value."²⁷

Market Tenets

All the principles embodied in the tenets described thus far lead to one decision point: buying or not buying shares in a company. Anyone at that point must weigh two factors: Is this company a good value, and is this a good time to buy it—that is, is the price favorable?

Price is established by the stock market. Value is determined by the analyst, after weighing all the known information about a company's